The serious bid was made by F.C. Kohli himself in November 1993 in a five-page note he placed before the board of directors of Tata Sons. In it, he stated that the company had grown by over 42.6 per cent in the last two years and that it required a structure ‘which would meet the people’s aspirations and their need for self-esteem’ to continue its exceptional performance. The import of the note was that the ‘senior people’ of the company should also have a ‘stake’ in TCS and that they should occupy positions that could ‘give them recognition’. Kohli added that to retain senior people, they should be made partners in the enterprise as was the case in certain other consultancy firms. He contended, ‘Rewards for good results, incentive contract and other such recompense do not seem to be suited to information professionals, system consultants and decision makers.’

The issue was debated and it was feared that acceding to Kohli’s request could have far-reaching implications for the entire group. However, after some intense discussions, it was decided, after Ratan’s intervention, that the time was not ripe to hive off TCS without visiting severe financial problems upon Tata Sons. The reasons were self-evident.

In 1991–92, nearly 81 per cent of the total income of Tata Sons came from the software company and 76 per cent of the total profit before taxes of Tata Sons was contributed by TCS. The funds generated by it were critical for the holding company to raise the much-needed finances for investments, just as it had enabled Tata Sons to generate around Rs 200 crore during the previous two/three years. It was particularly important as the Tata companies needed to modernize to survive in the new liberalized ecosystem. Funds were also sorely needed for Tata Sons to raise its stake in its companies. These goals would have become unimplementable if TCS were not a part of the holding company.

The consequences of TCS ceasing to be a division of Tata Sons were so grave that Ratan found it imperative not to acquiesce in a change in the status quo of the company. He was, however, willing to consider other alternatives to reward the highly efficient leaders, for instance, by allowing TCS more autonomy to take decisions independently. Ratan was supportive of the company having its subsidiaries and its own separate board with both external and internal directors to give it more autonomy. He also recommended giving employees a stake in the subsidiary or JV entities TCS may form. But he was unequivocal that there could not be an offer of stock